

As we can see, there are different accounting policies for every item, like



It might be difficult to understand in the initial days as there are numerous points to consider.

However, after some time, you will get used to it. You will get used to the terms and learn to focus on the important points crucial for the company.



You also have to check for the quality of the accounting policies adopted by the company. Next, you must check for changes in the accounting policies from the previous year.

In most cases, you won't find any changes. However, there will be certain changes in some years, and you need to find them out. **These are two of the most important things you must understand before Financial Statement Analysis - Auditor's Report and Accounting Policies.**

Earlier, we analyzed the Auditor's report and their opinions, and now we have discussed a company's accounting policies. So this will help you understand where to start while working on any financial statement.